

25NWCV04450 25NWCV04450

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Case Number: 25NWCV04450 Hearing Date: September 11, 2026 Dept: P

BRENDA CANSLER v.

ARTESIA COMMUNITY HEALTHCARE, LLC, ET AL.

CASE NO.: 25NWCV04450

HEARING: 09/11/2026 @

9:30 AM

#10

TENTATIVE ORDER

Petitioner's Corey Cansler's petition for approval of compromise of claim is CONTINUED to Friday, October 9, 2026 at 9:30 AM in Dept. P. Petitioner is instructed to correct the deficiencies by Friday, October 2, 2026.

Moving party to give notice.

Petitioner Corey Cansler (Petitioner), Guardian ad Litem for Claimant Brenda Cansler (Claimant) moves for approval of compromise of claim.

Background

On December 16, 2025, Plaintiff Brenda Cansler, by and through her Guardian ad Litem Corey Cansler filed this action against Defendants Artesia Community Healthcare, LLC dba Artesia Palms Care Center (Artesia Palms); PACS Group, Inc.; and Does 1-25 (collectively, Defendants). The complaint

alleges that Plaintiff, aged 74, was admitted to Artesia Palms on March 25, 2025 for skilled nursing care and management of her psychiatric symptoms. (Complaint, ¶¶ 19, 24.) Despite Defendants' awareness of Plaintiff's risks of elopement and wandering, on May 18, 2025, Plaintiff and another resident left the facility and remained missing for a 27-hour period. (Complaint, ¶¶ 29-31.) The complaint alleges the CDPH conducted an investigation into the elopement episode and determined it was an "an Immediate Jeopardy (IJ) situation," a situation in which a facility's non-compliance with a regulation caused serious harm or impairment, to a resident. (Complaint, ¶ 38.) The complaint asserts two causes of action: (1) negligence and (2) violation of patient's rights.

On May 8, 2026, Petitioner filed a Petition for Approval of Compromise of Claim (Petition).

On June 12, 2026, the Court granted Plaintiff's ex parte application to advance this Petition.

On June 30, 2026, Petitioner filed an Amendment to Plaintiff's Petition to Approve Compromise Requesting Permission to Place Funds into Special Needs Pooled Trust (Amendment).

On July 16, 2026, this action first came on for hearing. The Court continued the hearing and requested supplemental information. The Court again continued this motion on August 7, 2026.

Legal Standard

A Petition for approval of compromise of claim or action or disposition of proceeds of judgment for minor or person with a disability must conform with Code of Civil Procedure section 372 and Probate Code sections 2504 and 3600 et seq. (Cal. Rules of Court, rule 7.950.) Such a petition "must be verified by the petitioner and must contain a full disclosure of all information that has any bearing upon the reasonableness of the compromise." (Cal. Rules of Court, rule 7.950.) Moving papers should include the Petition of Guardian Ad Litem for Compromise of Disputed Claim of Minor or Person with Disability (Petition) on Form MC-350 and an Order Approving Compromise of Minor's Claim (Order) Form MC-351.

Discussion

Petitioner, as son and Guardian ad Litem for Claimant, a seventy-six-year-old with a disability, moves for approval of compromise of claim and to place funds into a special needs pooled trust on behalf of Claimant. This Petition is unopposed.

Petition to Approve Minor's Compromise

Allocation

Defendants will pay \$75,000.00 to Claimant. (Pet., ¶ 10.) Claimant's net recovery will be \$49,276.24. (Pet., ¶ 15.)

Medical Expenses

The Petition does not claim any medical expenses. (Pet., ¶ 12a.) Petitioner represents that there are no statutory or contractual liens for payment of Claimant's medical expenses. (Pet., ¶ 12b(5).)

Attorney's Fees & Costs

The Petition seeks approval of \$25,000.00 in attorney's fees. (Pet., ¶ 13a; Attach., 13a.) This represents one third or 33.33% of the settlement amount. (Hutchins Decl., ¶ 6.) This is consistent with the attorney-client agreement. (Attach., 17a.) The Petition seeks costs in the amount of \$723.76. (Pet., ¶ 13b.)

Based on the declaration of counsel and information provided in this Petition, the Court finds this amount reasonable. (See Cal. Rules of Court, rule 7.955.)

Disposition

The balance of the proceeds of the proposed settlement remaining for Claimant after payment of all requested fees and expenses is \$49,276.24.

Petitioner proposes that the \$49,276.24 "be deposited in insured accounts in one or more financial institutions in this state, subject to withdrawal only on authorization of the court." (Pet., ¶ 18b(2).) Petitioner filed an "Amendment

to Plaintiff's Petition to Approve Compromise" (Amendment) on June 30, 2026

indicating that "Plaintiff has determined that placing the funds in a pooled trust will better serve Ms. Cansler's needs by allowing her to retain her eligibility for certain public benefits." (Amendment.)

The Court finds the proposed settlement proceeds to Claimant to be reasonable under the circumstances and now turns to Petitioner's proposed special needs trust.

Special Needs Trust

Notice

When seeking approval of a Special Needs Trust, service must be made upon three state agencies including the Department of Mental Health, Department of Developmental Services, and Department of Health Care Services. (Prob. Code, § 3611, subd. (c).)

There is no proof of service that reflects compliant service.

Proposed Special Needs Trust Instrument

Petitioner provides the proposed trust instrument as Exhibit 1 to the Amendment.

While the Master Trust Agreement was provided, the Amendment does not include the necessary Joinder Agreement, which must also be reviewed. The Joinder Agreement is where specific terms of the Master Trust Agreement can be modified to fit the specific circumstances of the beneficiary. Without the Joinder Agreement, the documents are incomplete and cannot be fully reviewed. Petitioner should provide a complete, but unsigned, copy of the Joinder Agreement for further review.

The proposed trust instrument, as it stands, does not make itself subject to the continuing jurisdiction and supervision of the Court. (Cal. Rules of Court, rule 7.903(b).)

The proposed trust instrument does not meet the requirements of

California Rules of Court, rule 7.903(c) and Los Angeles Superior Court (LASC) rule 4.116(b).

Findings Under Probate Code Section 3604

Probate Code Section 3604, subdivision (b), states the following: "A special needs trust may be established and continued under this section only if the court determines all of the following: [¶] (1) That the minor or person with a disability has a disability that substantially impairs the individual's ability to provide for the individual's own care or custody and constitutes a substantial handicap. [¶] (2) That the minor or person with a disability is likely to have special needs that will not be met without the trust. [¶] That money to be paid to the trust does not exceed the amount that appears reasonably necessary to meet the special needs of the minor or person with a disability."

The Court finds that the Petitioner has offered sufficient evidence to support the finding that Claimant is a person with a disability within the meaning of Probate Code section 3604, subdivision (b), as Claimant "suffered from cognitive impairment due to her diagnoses of dementia and paranoid schizophrenia, and consequently was unable to make decisions on her own behalf." (Pet., ¶ 5.) Additionally, the Court finds that Petitioner shows that Claimant is likely to have special needs that will not be met without the trust and the money to be paid to the trust does not exceed the amount that appears reasonably necessary to meet the Claimant's special needs. The SNT funds will supplement her needs by allowing her to relocate or pay for adequate housing.

Accordingly, the findings under Probate Code section 3604, subdivision (b) are satisfied.

Trustee and Bond

The proposed initial trustee is CPT Institute (according to the Declaration of Laura Davis, the actual name is "Institute for Health Care Advocacy, Inc., a Florida non-profit corporation, doing business as CPT Institute.")

Normally, bond must be required of a trustee unless the trustee is a corporate fiduciary/trust company. (Cal. Rules of Court, rule 7.903(c)(5); Prob. Code, §§ 2320, 15602.) The proposed

trustee does not meet that requirement and bond should be required. While the proposed trustee is a non-profit tax-exempt charitable organization, no briefing was provided that it is a corporate fiduciary/trust company.

Petitioner does not request or calculate bond, and the proposed order checks "bond not required." A proper bond calculation based upon the assets to be funded into the trust, plus anticipated annual income from investments and annuity if relevant, plus an additional amount required for the costs of any recovery on the bond, is \$55,000.

Proposed Order

There are general trust orders missing from the Proposed Order:

Trust terms are not included in the order as required (LASC rule 4.115(c)(2)).

Required Probate Code 3604, subdivision (b) findings are not made in the order.

Order does not provide for continuing court jurisdiction and supervision over the trust.

Order does not address bond.

Conclusion

Accordingly, while the Court finds the terms of the settlement reasonable, the aforementioned deficiencies preclude approval of the proposed trust. There are also deficiencies in the proposed order. The Court finds a continuance warranted to permit Petitioner to correct the deficiencies in the Petition and Proposed Order.

Accordingly, Petitioner's petition for approval of compromise of claim is CONTINUED to Friday, October 9, 2026 at 9:30 AM in Dept. P. Petitioner is instructed to correct the deficiencies by Friday, October 2, 2026.